

Keynesian, and his opponents, the libertarian “Austrian” economists, have the same analysis, except that the first group recommends governmental intervention to smooth out the cycle, while the second believes that civil servants should not be trusted to deal with such matters. While both schools of thought seem to fight each other, they both emphasize fundamental uncertainty and stand outside the mainstream economic departments (though they have large followings among businessmen and nonacademics). No doubt this emphasis on fundamental uncertainty bothers the Platonifiers.

All the tests of probability I discussed in this section are important; they show how we are fooled by the rarity of Black Swans but not by the role they play in the aggregate, their *impact*. In a preliminary study, the psychologist Dan Goldstein and I subjected students at the London Business School to examples from two domains, Mediocristan and Extremistan. We selected height, weight, and Internet hits per website. The subjects were good at guessing the role of rare events in Mediocristan-style environments. But their intuitions failed when it came to variables outside Mediocristan, showing that we are effectively not skilled at intuitively gauging the impact of the improbable, such as the contribution of a blockbuster to total book sales. In one experiment they underestimated by thirty-three times the *effect* of a rare event.

Next, let us see how this lack of understanding of abstract matters affects us.

The Pull of the Sensational

Indeed, abstract statistical information does not sway us as much as the anecdote—no matter how sophisticated the person. I will give a few instances.

The Italian Toddler. In the late 1970s, a toddler fell into a well in Italy. The rescue team could not pull him out of the hole and the child stayed at the bottom of the well, helplessly crying. Understandably, the whole of Italy was concerned with his fate; the entire country hung on the frequent news updates. The child’s cries produced acute pains of guilt in the powerless rescuers and reporters. His picture was prominently displayed on magazines and newspapers, and you could hardly walk in the center of Milan without being reminded of his plight.

Meanwhile, the civil war was raging in Lebanon, with an occasional hiatus in the conflict. While in the midst of their mess, the Lebanese were also absorbed in the fate of that child. The *Italian* child. Five miles away, people